



Case Study · Food & Beverage · Growth & Distribution Strategy

A recipe perfected.

A business built to scale it.

How a homegrown F&B brand broke out of its local market, rationalized its operations, and built the distribution muscle to reach shelves it had only dreamed of — with **Stralchemistry**.



BACKGROUND

A homegrown food and beverage brand with deep roots in regional cuisine had built a loyal following across its home city — through a combination of product quality, authentic provenance story, and word-of-mouth that money couldn't buy. The founders had started at a farmer's market stall and grown to a small production facility serving local retailers and a modest D2C channel. Demand was there. Ambition was there. But every attempt to grow beyond the home market had stalled — on distribution complexity, on margins that couldn't survive the cost of reaching new geographies, and on an operational setup that was built for artisan volumes, not commercial scale.

Stralchemistry was engaged to bridge the gap between a brand ready to travel and a business ready to carry it.

PAINPOINTS

Four compounding barriers were keeping a nationally viable brand pinned to a single city:

No distribution architecture

The brand had no distributor relationships, no trade pricing structure, and no playbook for entering new markets.

Every geography would need to be figured out from scratch - a process the founders had neither the bandwidth nor the expertise to run in parallel with production.

Margins too thin to travel

Landed cost in new cities - logistics, distributor margin, retailer margin - consumed the brand's already-thin gross margin entirely. The product was priced for local direct sales, not for a multi-tier distribution chain. Every unit sold outside the home city was effectively a loss.

SKU complexity outpacing operations

The range had grown to 34 SKUs across sauces, pastes, snacks, and beverages - each with different shelf life, packaging, and cold chain requirements. Production scheduling was chaotic, wastage was high, and the team was managing complexity that the revenue couldn't justify.

HoReCa channel invisible

Hotels, restaurants, cafes, and corporate cafeterias - all high-volume, high-frequency buyers - had never been formally approached. The brand's provenance story and quality positioning were precisely what premium HoReCa buyers looked for, yet the channel was entirely untapped.

THE STRALCHEMY ENGAGEMENT

Stralchemy ran a 14-week commercial strategy engagement covering pricing architecture, SKU rationalization, distribution channel design, and HoReCa market entry. The founding team's product expertise and brand story were treated as the most valuable assets in the room — every strategic decision was built to amplify them, not replace them.

1. Pricing Architecture for Scale

Stralchemy rebuilt the brand's pricing from the ground up — working backward from the required margin at each channel tier to set a sustainable MRP. A trade price list, a distributor margin structure, and a channel-specific promotional framework were built and documented for the first time. The brand could now enter any city with a margin structure that worked before the first unit shipped.

2. SKU Rationalization

A contribution margin and complexity analysis reduced the active range from 34 SKUs to 14 — built around the eight hero products with strongest velocity and six strategic additions for channel-specific needs. Wastage dropped by 60%. Production scheduling simplified overnight. The team could now focus energy on products that earned it.

3. Distribution Channel Build-Out

Stralchemy designed a phased geographic expansion model — starting with three anchor cities beyond the home market, each with a named distributor, an activation playbook, and a 90-day performance benchmark. A distributor evaluation framework and onboarding kit were built so expansion could be replicated by the team independently. The brand went from 3 cities to 27 within 14 months.

4. HoReCa & Institutional Channel Launch

HoReCa & institutional channel launch. A dedicated HoReCa proposition was packaged — bulk formats, custom labelling options, a chef sampling programme, and a procurement-friendly ordering system. **Stralchemy** identified and facilitated the first ten HoReCa relationships directly. The institutional channel, which did not exist at the start of the engagement, generated ₹11.4Cr in its first full year of operation.

OUTCOMES

A brand that travels now

Distribution expanded from 3 to 27 cities in 14 months - each market entered with a working margin structure and a named distributor accountable to clear performance targets.

Margins that makes sense

Gross margin improved 22 points through combined pricing restructure and SKU rationalization. For the first time, every unit sold in every channel contributed positively to the business.

Operations simplified, waste eliminated

The move from 34 to 14 SKUs cut production wastage by 60% and reduced raw material procurement complexity by half. The founding team recovered bandwidth they had been burning on operational firefighting for two years.

Institutional channel as a growth pillar

HoReCa corporate contracts contributed ₹11.4 Cr in year one - a high-volume, recurring channel that smoothed the seasonality of retail and D2C revenue and elevated the brand's visibility in premium dining environments simultaneously.

"We had spent years perfecting what went into our products. **Stralchemistry** helped us understand what needed to go into the business around them - and the difference it made was immediate."

Founder & Head of Product, F&B Brand (Identity withheld at client request)

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